

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

TZ SSE BUYER, LLC, *Complainant*

v.

COSCO SHIPPING LINES CO., LTD., *Respondent*.

DOCKET NO. 24-09

Served: September 19, 2025

ORDER OF: Richard AMBROW, *Administrative Law Judge*.

INITIAL DECISION¹

I. INTRODUCTION

A. Overview

Complainant TZ SSE Buyer, LLC (“Complainant”) filed a second amended complaint (“SAC”) alleging that Respondent COSCO Shipping Lines Co., Ltd. (“Respondent”) violated the Shipping Act of 1984, as amended, by charging Complainant unjust and unreasonable demurrage, detention, per diem, and yard storage fees in violation of 46 U.S.C. § 41102(c), and refusing to deal or negotiate regarding those same fees in violation of 46 U.S.C. § 41104(a)(10). In short, Complainant argues that Respondent imposed unjust and unreasonable demurrage, detention, per diem, and yard storage fees across 228 container shipments (some container shipments had multiple different types of charges) from 2020 through 2023. The aggregate total of allegedly unjust and unreasonable demurrage, detention, per diem and yard storage fees is \$637,195.21.

Impact Products, LLC and Safety Zone, LLC (collectively, “Supply Source”) filed an initial Verified Complaint that was served by the Commission on February 14, 2024. On May 17, 2024, Supply Source filed an Amended Complaint, which attached an assignment of claims. Supply Source eventually filed for bankruptcy, and Complainant bought Supply Source’s assets. By means of the SAC, served October 17, 2024, TZ SSE Buyer, LLC was substituted as Complainant. Respondent answered and generally denied the allegations in the SAC.

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. (46 C.F.R. § 502.227).

I previously granted Respondent's Motion for Partial Summary Judgment, dismissing Complainant's claims related to containers that were transported from a port overseas to a Canadian port due to lack of jurisdiction. As for the remaining claims, Complainant presents insufficient evidence to meet its burden of proving that Respondent violated either 46 U.S.C. § 41102(c) or 46 U.S.C. § 41104(a)(10). Therefore, Complainant's claims are all **DENIED**. I also note that Complainant's Renewed Motion for Confidential Treatment filed July 30, 2025, is **GRANTED** to the extent it was not previously denied as to Exhibits 12 and 13. I **GRANT** Respondent's Motion for Confidential Treatment filed August 4, 2025. I **GRANT** the Revised Complainant's Motion for Confidential Treatment filed September 17, 2025. I **DENY** Complainant's Motion to Withdraw Public Versions of its Opening Brief and Proposed Findings of Fact and for Leave to Re-File Corrected Public and Confidential Versions with Redactions and Markings as moot to the extent it was not previously granted.

B. Procedural History

The original Complainants, Impact Products, LLC and Safety Zone, LLC ("Supply Source") filed a Complaint dated February 6, 2024, naming COSCO Shipping Lines Co., Ltd., as the Respondent. (*See Complaint*).

On February 14, 2024, the Secretary issued a Notice of Filing of Complaint and Assignment ("Notice of Filing"), which, among other things, indicated that the Initial Decision of the presiding judge was to be issued by February 14, 2025. (Notice of Filing, at 2).

The matter was assigned to Administrative Law Judge Alex M. Chintella, who entered the Initial Order on February 28, 2024.

Respondent filed a Motion to Dismiss on March 11, 2024, arguing that Supply Source was not a direct purchaser. On May 17, 2024, Supply Source filed an Amended Complaint with an assignment of claims from Laufer Group International ("LGI"). On May 24, 2024, Judge Chintella denied the Motion to Dismiss finding that the Amended Complaint resolved the direct-purchaser issue. (*See Order Denying Motion to Dismiss*). On June 5, 2024, Respondent filed its Verified Answer.

On June 18, 2024, the parties filed a Joint Status Report and Proposed Discovery Schedule ("JSR"). In the JSR, the parties proposed a case schedule, including discovery cutoff of November 2, 2024, and completion of briefing by January 24, 2025.

On June 24, 2024, Judge Chintella issued a Scheduling Order that largely adopted the parties' proposed case schedule.

On September 27, 2024, Supply Source filed a Motion for Leave to File Amended Complaint ("Motion for Leave to Amend"). The Motion for Leave to Amend indicates that the proposed amended complaint will change the complainants from Impact Products, LLC and Safety Zone, LLC to TZ SSE Buyer, LLC. Supply Source filed for bankruptcy protection after the Complaint was filed. TZ SSE Buyer, LLC purchased Supply Source's assets, including the claims at issue in this litigation. In addition, the Motion for Leave to Amend indicates that the proposed amended complaint adds details, but did not add new allegations or charges. Among other things, the Motion for Leave to Amend included a copy of the Asset Purchase Agreement

Between TZ SSE Buyer, LLC, Supply Source Enterprises, Inc., Impact Products LLC, and The Safety Zone, LLC (“Purchase Agreement”). (Motion for Leave to Amend, Ex. 2, at 62-148).² Respondent objected to the amendment on the basis of undue delay and prejudice. (*See* Respondent’s Response to Motion to Amend the Complaint).

On October 16, 2024, Judge Chintella issued an Order Granting Motion for Leave to File Amended Complaint. The Office of the Secretary served the Verified Second Amended Complaint (“SAC”) on October 17, 2024. On November 4, 2024, Respondent filed its Verified Answer to the SAC.

On October 31, 2024, the parties filed a Joint Status Report and Proposed Amended Discovery Schedule, in which they disputed whether expert discovery was appropriate. On November 4, 2024, Judge Chintella entered a First Amended Scheduling Order, permitting expert discovery and extending the discovery period.

On March 6, 2025, the parties filed a Joint Motion to Extend Discovery and Briefing Deadlines. Following a Joint Status Report, Judge Chintella entered a Second Amended Scheduling Order on March 19, 2025, extending deadlines.

On March 11, 2025, Respondent filed a Motion for Partial Summary Judgment, seeking an order dismissing Complainant’s claims related to containers that were transported from a port overseas to a Canadian port due to lack of jurisdiction. Complainant opposed the motion on March 26, 2025. (*See* Complainant’s Response in Opposition to Respondent’s Motion for Partial Summary Judgment). On June 2, 2025, after this matter was reassigned, I issued an order granting Respondent’s Motion for Partial Summary Judgment. (*See* Order Granting Respondent’s Motion for Partial Summary Judgment and Denying Complainant’s Motion for Leave to file a Surreply (“June 2 Order”)).

On April 11, 2025, Complainant filed Complainant’s Motion to Compel Interrogatory Responses and Complete Document Production (“Motion to Compel”). On April 18, 2025, Respondent filed Respondent’s Response to Complainant’s Motion to Compel (“Motion to Compel Response”). On May 15, 2025, Judge Chintella issued an Order Granting in Part Complainant’s Motion to Compel (“May 15 Order”), ordering Respondent to produce, among other things, documents related to the shipments and charges at issue, as well as all policies related to demurrage and detention, *i.e.*, tariffs. (May 15 Order, at 3-4, 6-7). The Motion to Compel and resulting May 15 Order will be discussed in greater detail below.

On May 27, 2025, the parties filed a Joint Motion to Extend Briefing Deadlines.

Also on May 27, 2025, this matter was reassigned to the Undersigned.

On May 28, 2025, I granted the parties Joint Motion to Extend Briefing Deadlines of May 27, 2025.

² The page reference for the Purchase Agreement is to pdf pages 62-148 of the exhibits to the Motion for Leave to Amend.

On June 18, 2025, the Complainant filed its Opening Brief, Proposed Findings of Fact (“CPFF”), Appendix, and a Motion for Confidential Treatment. On June 20, 2025, the Complainant filed motions seeking to withdraw its public filings, and file a new Motion for Confidential Treatment. The substance of the Opening Brief will be discussed further below. Among other things, however, Complainant’s Opening Brief argues that Respondent failed to comply with the May 15 Order, and seeks adverse inferences.

On July 2, 2025, I issued an Order Setting Status Conference to discuss Respondent’s document productions, as well as confidential markings (“July 2 Order”).

On July 8, 2025, I held a Status Conference and issued an Order Following Status Conference (“July 8 Order”). The July 8 Order required Respondent to make a supplemental document production, allowed Complainant to file a Supplemental Opening Brief that addressed Respondent’s supplemental document production, and allowed Complainant to preserve any remaining discovery-related arguments. The July 8 Order also required Complainant to file a new Motion for Confidential Treatment and public versions of its Opening Brief and accompanying materials.

On July 18, 2025, Complainant filed its Supplemental Opening Brief and exhibits.

On July 30, 2025, Complainant filed its Renewed Complainants’ Motion for Confidential Treatment (“July 30 MCT”). On September 11, 2025, I issued an order denying the July 30 MCT as to Exhibits 12 and 13 because the parties waived confidentiality regarding some of the materials they requested be treated as confidential in those Exhibits (“September 11 Order”).

On August 4, 2025, Respondent filed its Response Brief, Respondent’s Proposed Findings of Fact (“RPFF”), and Respondent’s Response to Complainant’s Proposed Findings of Fact (“RCPFF”), and Appendix.

On August 25, 2025, after Complainant sought an extension, Complainant filed its Reply Brief, and Response to Respondent’s Proposed Findings of Fact.

On September 17, 2025, Complainant filed its Revised Complainant’s Motion for Confidential Treatment regarding Exhibits 12 and 13.

C. The Parties’ Arguments

The Complainant filed Complainant TZ SSE Buyer, LLC’s Opening Brief on June 18, 2025 (the “Opening Brief”), as well as Complainant’s Proposed Findings of Fact (“CPFF”), and Complainant’s Appendix. In general, Complainant argues that Respondent originally imposed \$1,656,492 of detention, demurrage, and other charges on Complainant in violation of 46 U.S.C. §§ 41102(c) and 41104(a)(10), although only \$637,195.21 remained after the June 2 Order. The \$637,195.21 in charges were spread across 228 shipments. Complainant argues that Respondent’s detention, demurrage, per diem and yard storage fees were unreasonable under § 41102(c) because the charges did not incentivize cargo flow, Respondent did not have demurrage and detention policies, and Respondent’s billing practices were inadequate. As for § 41104(a)(10), Complainant alleges that its intermediary, Laufer Group International (“LGI”), disputed Respondent’s charges, but Respondent essentially ignored LGI’s requests. Complainant

also asserts that I should make adverse inferences against Respondent for its refusal to provide required discovery.

In its Supplemental Opening Brief filed on July 18, 2025, Complainant provides further argument as to why it is entitled to adverse factual inferences.

Respondent filed its Brief for Respondent, COSCO Shipping Lines Co., Ltd., (“Response”) on August 4, 2025. In short, Respondent primarily argued that Complainant did not carry its burden of showing that the charges at issue were unreasonable.

Complainant filed Complainant TZ SSE Buyer, LLC’s Reply Brief (“Reply”) on August 25, 2025. Complainant again argues that it is entitled to adverse factual inferences. Complainant also emphasizes that the Respondent failed to have dispute resolution policies, and that its invoicing practices were inadequate.

D. Motions for Confidential Treatment

Complainant originally filed a Motion for Confidential Treatment on June 18, 2025 (“June 18 MCT”), along with its Opening Brief, CPFF, and Appendix. On June 23, 2025, Complainant filed a Motion to Withdraw Public Versions of its Opening Brief and Proposed Findings of Fact and for Leave to Re-File Corrected Public and Confidential Versions with Redactions and Markings (“Motion to Re-File”) along with Complainant’s Renewed Motion for Confidential Treatment (“June 23 MCT”).

On July 30, 2025, after the July 8, 2025, status conference, Complainant filed a Renewed Complainant’s Motion for Confidential Treatment (“July 30 MCT”), which indicated that the parties reduced the number of redactions. (July 30 MCT, at 2). In short, the July 30 MCT indicates that the following is requested to be treated as confidential: third party and banking information on Respondent’s invoices; some third-party information on Respondent’s master bills of lading; various columns on Complainant’s Exhibits 12 and 13; third-party information and internal communications in Complainant’s Exhibit 14; confidential information in Complainant’s Exhibit 16, and third party information in Complainant’s Exhibit 19.

Respondent also filed a Motion for Confidential Treatment on August 4, 2025 (“August 4 MCT”). In it, Respondent requested confidentiality for information relied on in its experts’ reports, as well as third-party and banking information on its invoices. (*See* August 4 MCT).

On September 11, 2025, I denied the July 30 MCT as to Exhibits 12 and 13 because the parties waived confidentiality as to much of the material redacted on Exhibits 12 and 13. I required Complainant to file a revised motion for confidential treatment. I also denied the June 18 MCT and the June 23 MCT, and granted in part the Motion to Re-File to the extent Complainant sought to withdraw its public filings of June 18, 2025.

On September 17, 2025, Complainant filed a Revised Motion for Confidential Treatment (“September 17 MCT”) as to Exhibits 12 and 13.

On February 28, 2024, Judge Chintella issued an Initial Order that provided detailed information about filing confidential material. The Initial Order provided that if confidential

information is filed, a “motion justifying confidential treatment” that showed “good cause by demonstrating that the information is a trade secret or other confidential research, development, or commercial information” is required. (Initial Order, at 5-6 (citing 46 C.F.R. § 502.141(j)(1))). The Initial Order also indicated that the confidential information should be clearly and conspicuously marked in the confidential version of the filings and blacked out in the public version. (Initial Order, at 5-6). Commission Rule 5 states that: “Confidential information in exhibits should be marked as specified above. If marking within the text is not feasible, individual pages may be replaced in the public version with a page indicating that confidential material is excluded. Entire exhibits should not be excluded, only those pages containing confidential material.” (46 C.F.R. § 502.5(a)(2)(iii) (emphasis added)).

The parties submitted over 3,200 combined pages of exhibits in their appendices to the Opening Brief, Supplemental Opening Brief, and Response, as well as other filings. I am satisfied that the outstanding motions for confidential treatment comply with the requirements in the Initial Order and Commission Rule, and that the redact information is confidential. Therefore, the The July 30 MCT is **GRANTED** to the extent it was not previously denied as to Exhibits 12 and 13. I **GRANT** the August 4 MCT. I **GRANT** the September 17 MCT. The Motion to Re-File is **DENIED** as moot to the extent it was not previously granted.

II. FINDINGS OF FACT

A. Findings of Fact Regarding Parties and Other Entities

1. Impact Products, LLC is a Delaware limited liability company. (Purchase Agreement, at 67).
2. The Safety Zone, LLC is a Connecticut limited liability company. (Purchase Agreement, at 67).
3. Supply Source Enterprises, Inc. is a Georgia corporation. (Purchase Agreement, at 67). Supply Source Enterprises, Inc. is the parent company of Impact Products, LLC, and The Safety Zone, LLC (collectively, “Sellers”). (CPFF, ¶ 10; *see also* Purchase Agreement, at 67).
4. Sellers filed a bankruptcy petition on or about May 21, 2024. (Purchase Agreement, at 67; SAC, ¶ 2; CPFF, ¶ 12).
5. TZ SSE, LLC is a Delaware limited liability company. (Purchase Agreement, at 67).
6. TZ SSE, LLC agreed to purchase Sellers’ assets, including all rights, claims or causes of action belonging to Sellers. (Purchase Agreement, at 80-82). The bankruptcy court approved of the Purchase Agreement on July 10, 2024. (Motion for Leave to Amend, Ex. 2, at 19-60).
7. Although Impact Products, LLC and The Safety Zone, LLC were the original Complainants, TZ SSE, LLC was substituted as the Complainant after the asset purchase. (*See generally* Complaint; SAC, ¶ 2).

8. Respondent is an ocean carrier as defined in 46 U.S.C. § 40102(18) and is headquartered in China. (CPFF, ¶ 32; RCPFF, ¶ 32).
9. LGI is a New York corporation. (SAC, Ex. A). LGI is an NVOCC. (SAC, ¶ 13; CX_000003 (Hallett Decl., ¶ 8)).
10. LGI assisted Supply Source in shipping containers, including negotiating agreements with carriers like Respondent to secure vessel space. (CX_000003 (Hallett Decl., ¶¶ 8-11)).

B. Findings of Fact Regarding Spreadsheets, Invoices, and Sea Waybills

11. Complainant asserts that Respondent imposed demurrage, detention, per diem, and yard storage fees in connection with containers. (CX_000004 (Hallett Decl., ¶ 14)).
12. Supply Source's former employee signed a declaration stating that, based on a review of invoices from LGI, as well as correspondence, all fees at issue originated from Respondent, and that LGI passed the charges through to Complainant. (CX_000004-CX_000005 (Hallett Decl., ¶¶ 14-15, 18-19)).
13. Supply Source's former employee gave the following deposition testimony³:

Q So this says, Each container number for the charges wrongfully assessed by Costco. Does Costco assess charges at railyards, Mr. Hallett?

A I cannot, definitely, say that, but yes. From what I've seen, I get -- we get charged from the steamship line, as well as -- as well as others. It could be a -- it could be a yard storage from a third party that is not Costco, but, yes, Costco. I have seen the invoices come through from Costco.

Q Okay. So -- so some of the invoices came from Costco. Some came from third parties that were not Costco.

A I don't know which ones did. Again, as you saw in the previous invoice, we were just invoiced by Laufer. Laufer had the actual invoices.

(RX_000308-RX_000309 (Hallett Dep., 72:21-73:15) (bolding in original)).

14. Supply Source's former employee signed a declaration asserting that LGI disputed many of the charges Respondent imposed. (CX_000005 (Hallett Decl., ¶ 20)).
15. Supply Source's former employee gave the following deposition testimony:

³ The transcript did not correct the name of the Respondent from Costco to COSCO.

Q Okay. How frequently would you contact Laufer to ask for additional free time?

A Generally, that was left up to Laufer, but every time we saw that was -- that we got information from Laufer that there was not a return, we'd -- we'd request that they do what they can in their power to see what we can do to extend free time. They own the -- Laufer owned the relationship with the steamship line; we did not.

Q Okay. So did SSE ever reach out to the steamship line or railroads directly?

A No, we would not.

Q Okay. So did you ever -- so you would ask Laufer to -- I'm sorry, I think you said, Do what was in their power. What would you ask them to do, specifically, or what would -- what would they do specifically?

A We would actually tell them to match up their contacts and contact their contacts and see what they could do to get extensions, if they were able.

Q Okay, and how often did Laufer get extensions when you asked them to?

A That, I really -- based on billing, I mean, I -- I did not see the actual conversations all the time. So I don't know how many times they got the extended.

Q Just a percent.

A Don't know.

Q Okay. Was it frequent?

A Again, I don't know. I did -- was not privy to all of their conversations with the steamship lines or the -- or the ports or the ramps.

(RX_000309-RX_000310 (Hallett Dep., 75:11-77:1)).

16. LGI and Supply Source entered an Assignment of Claims agreement whereby LGI assigned claims for Respondent's alleged violations of the Shipping Act to Supply Source. (Assignment of Claims Agreement, CX_000027-CX_000031; CX_000005 (Hallett Decl., ¶ 21)).
17. Complainant asserts it paid \$1,656,492 in wrongful detention and demurrage charges during 2021 and 2022, of which it seeks to recover \$637,195.21. (SAC, ¶¶ 14-15; CX_000004-CX_000005 (Hallett Decl., ¶¶ 15-17)).

18. Complainant's Appendix contains a spreadsheet that appears to be a compilation of charges at issue, as well as amended charges at issue (respectively, the "Charges Spreadsheet" and "Amended Charges Spreadsheet"). (CX_000009-CX_000018; CX_000021-CX_000025).
19. Complainant created the Charges Spreadsheet using invoices it received from LGI. (CX_000005 (Hallett Decl., at ¶ 18)).
20. The Amended Charges Spreadsheet adjusts the Charges Spreadsheet by removing shipments to a Canadian port. (See CPFF, ¶¶ 26-28; RCPFF, ¶¶ 26-28).
21. The Amended Charges Spreadsheet identifies 228 shipments and 240 corresponding containers (some shipments had multiple containers) that generated a total of 274 charges. Some containers generated multiple different types of charges. For example, the shipment under MBL no. COSU6338480430 / Container No. MAGU5264295 generated \$1,330 in detention charges, and \$210 in in yard storage charges. (CX_000022). The Amended Charges Spreadsheet shows 128 demurrage charges totaling \$262,124.21, fourteen detention charges totaling \$16,210, 44 per diem charges totaling \$102,806, and 88 yard storage charges totaling \$256,055. The grand total of charges identified on the Amended Charges Spreadsheet is \$637,195.21. (See Amended Charges Spreadsheet).
22. The record contains 97 invoices that Respondent issued to LGI or a drayage provider for 93 different charges. (CX_000032-CX_000153, CX_002282-CX_002284, RX_000376-RX_000525).
23. Of the invoices Respondent issued to LGI, the invoices for all but 24 of the shipments at issue in this case were issued after June 16, 2022. (See CX_000037-CX_000053, CX_000078-CX_000137, CX_000140-CX_000153, RX_000376-RX_000377, RX_000379-RX_000456, RX_000469-RX_000522).
24. Respondent's invoices issued after June 16, 2022, all contain the following information: the date that the container is made available; the port of discharge; the container number; allowed amount of free time; start and end dates of free time and applicable demurrage or detention rate; contact information for questions or mitigation of fees; and statements that the charges are consistent with Commission rules and that the carrier's performance did not cause or contribute to the fees. (See CX_000037-CX_000053, CX_000078-CX_000137, CX_000140-CX_000153, RX_000376-RX_000377, RX_000379-RX_000456, RX_000469-RX_000522).
25. Of the invoices that pre-date June 16, 2022, three invoices identify the port of discharge, container number, and the charge itself, but have little other information. (CX_000034-CX_000036). One invoice has port of discharge, container number, as well as start and end dates of free time, but no contact information for questions or disputes. (CX_000032-CX_000033). Several invoices identify the port of discharge, container number, the start and end dates of the period at issue, the number of free days, and contact information for questions or disputes. (CX_000138-CX_000139, CX_002282-CX_002284, RX_000378, RX_000523-RX_000525). Some invoices also include the container-availability date, the

start and end of free time, the demurrage or detention rate, and the number of free days. (CX_000054-CX_000077; RX_000457-RX_000468).

26. Per Respondent's corporate representative, detention is container-usage time, or container rental. (CX_001360-CX_001361 (Takase Dep., 13:3-14:2)). Respondent considers per diem and detention to be interchangeable terms. (*Id.*). Demurrage is import storage at the marine terminal. (CX_001360 (Takase Dep., 12:14-19)).
27. The record contains two invoices from Respondent to LGI, related to Container Nos. TCNU2686467 and TGBU5893344, that show a "storage charge." (CX_000034, CX_000035). Respondent's corporate representative testified that, from Respondent's perspective, the terms "storage" and "demurrage" are interchangeable, and the storage charge represents demurrage charges from the container at the port. (CX_001361 (Takase Dep., 14:3-15:11); CX_001368-CX_001369 (Takase Dep., 45:20-46:1); CX_001370-CX_001371 (Takase Dep., 53:23-54:9)). Respondent did not issue yard storage charges during the 2020-2022 time period. (CX_001364 (Takase Dep., 29:8-11)). He further testified as follows:

Q. And are you familiar at all with storage charges?

A. So that would have to be -- I guess the definition of storage charges would have to be elaborated. From our side, we -- we tend to not want to use the term storage. Although we have used it in the past, we try to describe the charges as demurrage.

Q. Okay. And so if on an invoice -- and we'll show a couple of these -- it says storage charges, should I believe those to be demurrage charges or we'll just have to take a look on the specific invoice to determine what that is?

A. Yes. So not too long ago, there were two charge codes in COSCO's system; one for storage, one for demurrage and depending on the handler of the billing, both codes were used. And so shortly thereafter we made a policy to only use the code demurrage for demurrage and to stop using the storage charges -- storage code. But, yes, they're supposed to be the same. If it's billed from us, it will be COSCO's demurrage.

Q. And when was that change made?

A. I'd have to say maybe -- maybe a couple of years ago. But to be honest, even until today we find some clerical errors where a clerk could use the wrong code again and it would show up on a report and we would have to, you know, fix it or just note that the charge code was different.

Q. Okay. And if -- if on that invoice it says "storage charge," though from COSCO's perspective, that's the same thing as a demurrage charge?

A. Yes, sir.

(CX_001361 (Takase Dep., 14:3-15:11)).

28. The invoices from LGI to Safety Zone LLC for Container Nos. TCNU2686467 and TGBU5893344 describe the relevant charges as "demurrage/store." (*See also* CX_001130-CX_001133). The Amended Damages Spreadsheet describes the charges for Container Nos. TCNU2686467 and TGBU5893344 as demurrage. (*See* CX_000024).
29. Respondent's demurrage invoices generally did not have instructions regarding how to dispute a charge. (CX_001369 (Takase Dep., 46:18-47:21)). Respondent's corporate representative testified that a customer could contact the service center regarding a dispute. (*Id.*).
30. Respondent's corporate representative provided the following testimony:

Q. And in a situation where there was, first of all, demurrage charges that occurred, does someone have to pay the demurrage charges before the container can be actually picked up?

A. Yes. The policy is all demurrage or port terminal storage has to be paid or cleared before the container is allowed to outgate. These charges are actually -- they originate from the port terminal itself, so the terminal would also not allow a container to outgate the facility unless it's paid either by the customer or COSCO.

Q. And those payments, if there is a demurrage charge, are those payments made from whoever it is, the customer or trucker, directly to COSCO?

A. It just depends on the terminal. If we're talking about LA, Long Beach, those terminals collect the full area tariff demurrage rate directly from the customer on our behalf. So the customer would be paying the terminal directly.

Q. And when you say, "on your behalf," what do you mean by that?

A. So the COSCO tariff, the demurrage rate includes the terminal -- terminal's own demurrage or storage tariff to COSCO per our agreement for storage rates that are, you know, against each container, and then in addition, the balance of that charge on our end is for the container usage.

So that combined is our import demurrage rate.

Q. So is it fair to say that any demurrage that would be charged, part of the fee would go to the terminal and part of the fee would go to COSCO?

A. Correct. It would be the majority of the fee would go to the terminal.

(CX_001363 (Takase Dep., 22:4-23:14)).

31. Respondent's corporate representative testified that for detention, "the billing is sent automatically from our Shanghai office." (CX_001370 (Takase Dep., 51:22-52:8); *see also* CX_001363-CX_001364 (Takase Dep., 25:19-26:2) ("... the detention invoices are automated and sent through our Shanghai office.")).
32. Respondent's corporate representative testified that per diem charges are also automatic. (CX_001363 (Takase Dep., 23:15-24:10); *see also* CX_001367-CX_001368 (Takase Dep., 41:24-42:19)).
33. There are 224 sea waybills in the record. Under the heading "type of movement," all sea waybills show either CY-CY or CY-Ramp. (CX_001398-CX_001665).
34. There are 214 invoices from LGI to Supply Source, spread across 184 shipments. (CX_001398-CX_001665). Some shipments, like the one associated with MBL COSU6341374080 / Container No. CSNU7881250, have two invoices from LGI to Supply Source. (*See* CX_001154-CX_001155; CX_001175-CX_001176).
35. The record contains a spreadsheet that Respondent produced that identifies most of the demurrage charges at issue (the "COSCO Spreadsheet"). (CPFF, ¶ 52; RPFF, ¶¶ 92-93; CX_002273-CX_002276). The COSCO Spreadsheet has column with the heading "Notes/Remarks," and that has several items that say: "Terminal collect on behalf of COSCO." (CX_002273-CX-002276). Respondent also produced a document stating "Terminal DEM" by many of the containers. (CX_002433-CX_002435). Similarly, in its RCPFF, Respondent states: "Terminal DEM – no COSCO invoice" by the same containers. (RCPFF, at 18-22, ¶ 53).
36. The record contains a spreadsheet that Respondent produced to Complainant identifying waived charges, including for containers CSNU778548, CSNU660895, BMOU449481 and BSIU995223 (the "COSCO Waiver Spreadsheet"). (CPFF, ¶ 55; RCPFF, ¶ 55; CX_002278).

C. Finding of Facts Regarding Other Issues

37. Supply Source's former employee signed a declaration stating that prior to 2021, Supply Source had not incurred demurrage, detention, per diem and yard storage charges "on anything close to the scale observed in 2021-2022." (CX_000006 (Hallett Decl., ¶ 24)).
38. Supply Source's former employee signed a declaration stating that he understood that during the relevant time period, the maritime transportation logistics environment was severely impacted by widespread, systemic disruptions, including severe port congestion, delays in container availability, limited trucking services, and equipment shortages. (CX_000004-CX_000005 (Hallett Decl., ¶¶ 22-23)).
39. Respondent's corporate representative admitted that during the 2020-2022 time period, there was "obviously ... some congestion" and that "the traffic going through the gates was a lot heavier than usual." (CX_001362 (Takase Dep., 19:13-20:1; 20:24-21:10)).

Respondent's corporate representative testified that bottlenecks at port terminals following Covid affected everyone in the transportation industry, and that Respondent: "had a difficult time moving the cargo." (CX_001362 (Takase Dep., 21:11-20)).

40. The public record contains evidence of congestion at ports nationwide during 2020-2022. For example, in *Fact Finding Investigation No. 29 Final Report* (the "*Final Report 29*") (May 31, 2022),⁴ the Commission found that beginning in the fourth quarter of 2020, "[i]ncreased demand exposed existing problems in the international ocean supply chain, leading to extreme supply chain port and marine terminal congestion." (*Final Report 29*, at 11). Several initial decisions from recent years refer to "unprecedented stress being placed on the supply chain" and resulting congestion during the relevant time period. (See *Hapag Lloyd A.G.*, Dkt. No. 21-09, 2022 WL 1239377, at *2 (quotations omitted); *TZ SSE Buyer, LLC v. Yang Ming Marine Transp. Corp.*, Dkt. No. 24-10, 2025 WL 1083815, at *20 (ALJ March 24, 2025) (notice not to review April 24, 2025) (discussing evidence in the record of widespread congestion at ports); see also *TPG Pressure, Inc. v. Omni Logistics and Epic Freight Solutions, LLC*, Dkt. No. 22-31, 2024 WL 4226354, at *33 (ALJ Sept. 12, 2024) ("Thus, the evidence shows that congestion impacted shipping during this time and Respondents reasonably conveyed this to TPG.")).⁵
41. The record contains an electronic message chain dated January 4, 2021, through January 20, 2021, between an employee at LGI and Respondent's employee. LGI's employee complains of an excessive dwell time for a container at the Long Beach port. This email chain involves a container that is not at issue. (CX_002426-CX_002432).
42. The record contains an email chain at Complainant's Exhibit 9. (CX_002182-CX_002197). The earliest email is dated September 7, 2021, and the last email is dated October 26, 2021. (*Id.*). All emails in the chain are between personnel at LGI and personnel at Supply Source. (*Id.*). The first email in the chain, dated September 7, 2021, identifies Container No. GCXU5481112 in the subject line, and references Container No. MSDU4170915 in the body of the email. (CX_002194-CX_002195). The next 25 emails in the chain, with the date range of September 8, 2021, through October 8, 2021, have Container No. MSDU4170915 in the subject line. (CX_002184-CX_002195). The last four emails in the chain, with the date range of October 8, 2021, through October 26, 2021, have Container No. CSLU5160030 in the subject line. (CX_002184-CX_002183). Among other things, emails dated September 13, 2021, refer to a storm that closed the Houston port. (CX_002191). An email from September 15, 2021, presumably the day after the port reopened, contains a picture of numerous trucks trying to enter and leave the port, and states that there "are many delays and lots of congestion as drivers have been stuck at the ports for hours this morning trying to pickup. I'm more than sure it'll remain this way throughout the day." (CX_002189-CX_002190). An email dated September 15, 2021, asks about the last free day for Container No. BMOU3152800. (CX_002188-CX_002189). Finally, an email dated October 7, 2021, also presumably

⁴ *Final Report 29* is available at: [Fact Finding 29 - Federal Maritime Commission](#) (last visited June 3, 2025).

⁵ I take official notice of the facts identified in this paragraph. (46 C.F.R. § 502.226).

discussing the Houston port, notes that a motor carrier commented that due to “the congestion at the ports and rails, and the lack of chassis[,]” the drivers “are having to wait for a chassis and/or hunt them down at different yards.” (CX_002186).

43. The record contains a cluster of email chains attached to Complainant’s Exhibit 14. (CX_002279-CX_002299). They are discussed in paragraphs 44-45 below.
44. The first email chain in the cluster is dated March 2, 2022, through April 4, 2022 (“Dispute Chain 1”). (CX_002285-CX_002288; CX_002296-CX_002299). In Dispute Chain 1, a drayage provider disputed charges related to Container Nos. OOLU8746591, BSIU9552230, and TCKU7671531 because no appointments were available to return the containers; Dispute Chain 1 notes that screenshots were attached. (CX_002298). Respondent waived the charges for all three containers. (CX_002296).
45. The second email chain in the cluster is dated from March 23, 2022, through July 22, 2022 (“Dispute Chain 2”). (CX_002289-CX_002295). In Dispute Chain 2, a drayage provider disputed charges related to Container Nos. CBHU8702788, BMOU4494813, and OOCU7346790, because no appointments were available to return the containers. Dispute Chain 2 notes that screenshots were sent to the Respondent. (CX_002292-CX_002294). Respondent waived the charges for the containers involved in Dispute Chain 2. (CX_002289).
46. Complainant’s Exhibit 14 also contains an invoice for \$1,440 and \$360 in detention charges related to, respectively, Container Nos. CSNU6608955 and CSNU7885488. (CX_002283). Other than the COSCO Waiver Spreadsheet (*see* Finding of Fact (“FOF”), ¶ 36), there are no other documents in the record related to the waiver of the detention charges associated with Container Nos. CSNU6608955 and CSNU7885488.
47. A witness for Complainant testified via a sworn declaration that, based on communications between his team and LGI, he understood that LGI disputed many of the charges with Respondent on Supply Source’s behalf, though Respondent did not waive or reduce the majority of the charges. (CX_000005 (Hallett Decl., ¶ 20)).
48. Respondent’s corporate representative testified that he was unaware of any communication from LGI disputing detention or demurrage charges. (CX_001369 (Takase Dep., 48:8-24)).
49. The record contains Respondent’s demurrage tariffs for U.S. ports for several different periods. First, the record has Respondent’s demurrage tariff filed March 23, 2020, and effective April 21, 2020. (CX_002467-CX_002496). Second, the record contains Respondent’s tariff filed March 4, 2022, and effective March 19, 2022. (CX_002437-CX_002466). Neither of these demurrage tariffs has a dispute resolution policy. (CX_002437-CX_002496). Third, the record has several versions of a tariff filed from August 1, 2022, through September 23, 2022, all of which have a dispute resolution policy. (*See* CX_002497-CX_002520 (filed and effective September 29, 2022); CX_002521-CX_002543 (filed September 22, 2022; effective September 23, 2022); CX_002544-CX_002566 (filed August 23, 2022; effective September 22, 2022);

CX_002567-CX_002589 (filed August 19, 2022; effective September 11, 2022); CX_002590-CX_002613 (filed August 19, 2022; effective September 1, 2022); CX_002614-CX_002636 (filed August 12, 2022; effective August 21, 2022); CX_002637-CX_002656 (filed July 1, 2022; effective August 1, 2022)). Finally, the record has Respondent's demurrage tariff filed March 29, 2024, effective from April 27, 2024; it has a dispute resolution policy. (CX_002308-CX_002329).

50. The record contains Respondent's detention tariffs for U.S. ports for several different periods. First, the record has Respondent's detention tariffs filed June 20, 2019, effective October 1, 2019; it does not have a dispute resolution policy. (CX_002657-CX_002661). Second, the record contains Respondent's detention tariff that was filed June 30, 2022, and effective August 1, 2022; it had a dispute resolution policy. (CX_002666-CX_002669). Third, the record contains Respondent's detention tariff that was filed and effective October 14, 2022, which had a dispute resolution policy. (CX_002662-CX_002665). Finally, the record contains Respondent's detention tariff that was filed May 14, 2024, and effective May 17, 2024; it had a dispute resolution policy. (CX_002301-CX_002307).

D. Findings of Fact Regarding Complainant's Expert Report

51. Complainant retained John D. McCown to provide expert testimony. (*See* Expert Report of John D. McCown ("McCown Report"), at CX_002348-CX_002409).
52. The McCown Report opined that Respondent "engaged in demurrage and detention billing practices that aggressively and relentlessly charged consignees of cargo in a manner that was more notable compared to the overall industry, and such practices contributed to its more accelerated improvement in financial performance relative to the industry." (McCown Report, at CX_002395). The Report also opined that the demurrage charged to Supply Source was even higher still. (*Id.*).
53. The McCown Report opined that any attempt by Respondent "to claim that damages should only be assessed on an invoice-by-invoice basis should be rejected as disingenuous." (McCown Report, at CX_002400-CX_002401). The McCown Report continues, stating that Respondent "is well aware that between time and the typical way such invoices are processed that it is virtually impossible to reconstruct specific details related to any invoice and would be inefficient even if such information was obtainable." (*Id.*). Using an analogy, the McCown Report states: "A state trooper can issue a speeding ticket to a car that goes 10 miles from point A to point B in 5 minutes without ever witnessing when or where the car was speeding. The actual data demonstrates that it must have occurred," just as the data in this case shows Respondent acted outside industry norms. (*Id.*).
54. Respondent submitted two rebuttal expert reports. (RX_000002-RX_000141).

E. Findings of Fact Regarding May 15 Order

55. On May 15, 2025, Judge Chintella issued the Order Granting In Part Complainant's Motion to Compel. (*See* May 15 Order).

56. Among other things, the May 15 Order overruled Respondent's objections to RFPs 3 and 11, and ordered Respondent to produce documents responsive to RFPs 3 and 11. (*See* May 15 Order, at 3-7, 12).

57. In RFP 3, Complainant requests the following:

Produce any and all documents, including but not limited to, invoices and payment records corresponding to such invoices, bills of lading, service contracts, and any other shipping documents, in any way connected with or relating to the shipments and Charges that You issued directly to Complainants or indirectly to Complainants through Laufer Group International (or their agents/representatives), or any other Person(s), including but not limited to a third-party shipping carrier, forwarder or agent, during the Relevant Period as referenced in the Complaint.

(CX_002262).

58. In RFP 11, Complainant requests the following:

Produce any and all documents connected with or relating to your common practices, policies and regulations in assessing demurrage, detention, per diem and yard storage charges, such as the Charges issued to Complainants during the Relevant Period as referenced in the Complaint.

(CX_002264).

59. The May 15 Order denied part of Complainant's Motion to Compel. Among other things, the May 15 Order denied the Motion to Compel as to RFPs 7 and 8. (May 15 Order, at 5-6, 12). The May 15 Order noted that Respondent represented that it "undertook a comprehensive search, running references to each of the bills of lading in Complainant's damages spreadsheet against data collected from likely custodians, including word searches against its customer service portals." (*Id.*, at 5). The May 15 Order stated that without a specific factual basis that documents have been overlooked or withheld, it would be inappropriate to inquire further into the adequacy of Respondent's searches. (*Id.*, at 6).

60. In RFP 7, Complainant requests the following:

Produce any and all communications between Complainants, Laufer Group International (or their agents/representatives), drayage companies and transportation companies for Complainants, and/or Respondents (or its agents/representatives), or any other Person(s), including but not limited to a third-party shipping carrier, forwarder or agent, that is connected with or relating to the shipments and Charges referenced in the Complaint.

(CX_002263).

61. In RFP 8, Complainant requests the following:

Produce any and all communications between Complainants, Laufer Group International (or its agents/representatives), Respondents (or its agents/representatives), and/or any other Person(s), including but not limited to a third-party shipping carrier, forwarder or agent, connected with or relating to the Charges You assessed to Complainant as alleged in the Complaint.

(CX_002263).

III. ANALYSIS AND CONCLUSIONS OF LAW

A. Burden of Proof

To prevail in a proceeding brought to enforce the Shipping Act, “a complainant has the burden of proving by a preponderance of the evidence that the respondent violated the Act.” (*Port Elizabeth Terminal & Warehouse Corp. v. The Port Authority of New York and New Jersey*, 1 F.M.C.2d 264, Dkt. No. 17-07, 2019 WL 1376529, at *13 (ALJ Mar. 25, 2019) (“*PANYNJ*”); *see also* 5 U.S.C. § 556(d)). “It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation.” (*OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG & Hamburg Sud N. Am., Inc.*, Dkt. No. 21-11, 6 F.M.C. 2d 165, 2023 WL 3969857, *20 (ALJ Jun. 7, 2023) (*aff’d* Aug. 27, 2024)).

B. Jurisdiction

The Shipping Act provides that: “A person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part. . . .” (46 U.S.C. § 41301(a)). “Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act.” (*Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. § 41102(c)*, Dkt. No. 21-09, 4 F.M.C. 2d 53, 2022 WL 1239377, at *20 (ALJ Apr. 22, 2022) (settlement approved on appeal) (“*Hapag Lloyd, A.G.*”). Here, the SAC alleges violations of the Shipping Act by Respondent.

In general, the Commission has jurisdiction over certain regulated entities, including ocean common carriers (“OCC”). (*See, e.g.*, 46 U.S.C. §§ 40102(7), 41102(c)). A common carrier is:

a person that—

holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;

assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and

uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. . . .

(46 U.S.C. § 40102(7)).

I previously ruled in the June 2 Order that the Commission did not have jurisdiction over shipments to a Canadian port that were later transported over land to the United States. The Respondent was not, by definition, a regulated entity as to the Canadian shipments. (June 2 Order, at 5-6). The June 2 Order was specifically limited to the fifteen shipments identified in Appendix A to the June 2 Order. (*See* June 2 Order, at 1-2, 6; *see also* June 2 Order, Appendix A). Complainant represents that after the June 2 Order, it has withdrawn its claims arising from shipments to Canadian ports. (*See* FOF, ¶ 20). Therefore, it appears that there is no issue regarding the Commission’s jurisdiction over the remaining claims.

C. Alleged Violation of 46 U.S.C. § 41102(c)

Complainant alleges that Respondent violated § 41102(c) by imposing unreasonable detention, demurrage, and per diem fees against Complainant. Complainant also argues that Respondent should be liable for yard storage fees even if Respondent did not charge yard storage fees. I will discuss these below.

Section 41102(c) of the Shipping Act provides that an OCC “may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling storing or delivering property.” (46 U.S.C. § 41102(c)).

The Commission identified the following five elements of a claim under § 41102(c):

(a) the respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; (b) the claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis; (c) the practice or regulation relates to or is connected with receiving, handling, storing or delivering property; (d) the practice or regulation is unjust or unreasonable; and (e) the practice proximately caused the claimed loss.

(46 C.F.R. § 545.4).

Complainant argues that Respondent violated § 41102(c) by imposing unreasonable demurrage, detention, and per diem charges despite widespread severe congestion at the ports and related equipment shortages. Respondent allegedly refused to extend free time and/or waive these charges, but instead took unfair advantage of the situation to increase its revenue dramatically. I analyze this alleged violation below.

1. Respondent is an Ocean Common Carrier

As discussed above, there is no question Respondent is an OCC. Respondent admits it is an OCC. (FOF, ¶ 8). Moreover, as noted, it appears that shipments to Canadian ports have been removed. (FOF, ¶ 20). Therefore, the first element of a claim under § 41102(c) is met.

2. Normal, Customary, and Continuing Basis

The second element of a claim under § 41102(c) is that the claimed acts occurred on a normal, customary and continuous basis. I find that Complainant has carried its burden of showing that it is more likely than not that this element is satisfied regarding demurrage, detention and per diem charges. I also find that Complainant has not carried its burden of showing that it is more likely than not that this element is satisfied regarding yard storage charges.

In *TCW, Inc. v. Evergreen Shipping Agency*, the Commission affirmed the Small Claims Officer's conclusion that the second element of a § 41102(c) claim was satisfied, even though there was only three days' worth of charges at issue, because the detention charge was imposed pursuant to a contractual term. (*See TCW, Inc. v. Evergreen Shipping Agency*, Dkt. No. 1966(I), 5 F.M.C. 2d 192, 2022 WL 18068977, at *4-*5 (FMC Dec. 29, 2022) (*vacated and remanded on other grounds sub nom. Evergreen Shipping Agency v. FMC*, 106 F.4th 1113 (D.C. Cir. 2024) ("TCW I").

The Amended Charges Spreadsheet shows 128 demurrage charges. (FOF, ¶ 21). The record contains Respondent's demurrage tariffs. (FOF, ¶ 50). Therefore, it appears that the demurrage at issue was imposed on LGI per Respondent's tariffs. Accordingly, I find that it is more likely than not that the demurrage charges were imposed on a normal, customary, and continuing basis.

There are allegedly fourteen detention charges. (FOF, ¶ 21). The record contains Respondent's detention tariffs from the relevant time period. Respondent's corporate representative testified that detention invoices are automatically triggered upon a late return of the container and are automatically issued from China. (FOF, ¶ 31). Therefore, I am satisfied that Respondent imposed the detention charge pursuant to a practice.

As for the 44 per diem charges, Respondent's corporate representative testified that detention and per diem are the same thing. (FOF, ¶¶ 21, 26). Respondent's corporate representative also testified that, like detention charges, per diem charges are imposed automatically. (FOF, ¶ 32). Therefore, it is more likely than not that Respondent imposed per diem fees on a normal, customary, and continuing basis.

Complainant asserts in its Opening Brief that the "normal, customary and continuing" element of a claim under § 41102(c) is met as to the yard storage charges because Respondent imposed 88 yard storage charges for a total of \$256,055. (Opening Brief, at 13-14, 21-22). Complainant cites CPFF, ¶ 27 for support of its assertion that Respondent imposed 88 yard storage charges. (Opening Brief, at 14). But CPFF ¶ 27 does not support that assertion. It states:

As a result of that ruling, Complainant's claimed damages have been reduced to \$637,195.21 across 288 shipments (collectively referred to as the "Charges"). An updated copy of the amended Damages Spreadsheet ("Amended Damages Spreadsheet") was provided to Respondent and is included as part of the declaration of Lawrence Hallett as Exhibit B.

(CPFF, ¶ 27 (citations omitted)).

Complainant also asserts in CFPP, ¶ 39 that: “Respondent has acknowledged that it regularly assesses demurrage, detention, per diem and other accessorial charges as part of its normal, customary and continuous business practice.” CPFF cites the deposition testimony of Respondent’s corporate representative for support. (*See* CPFF, ¶ 39; *see also* CPFF, ¶ 49 (“Mr. Takase further testified that that Respondent imposes demurrage, detention, per diem, and other accessorial charges as a standard and continuous part of its daily operations.”)). The testimony of Respondent’s corporate representative, however, does not support that assertion. To the contrary, Respondent’s corporate representative testified that Respondent did not charge any yard storage fees from 2020-2022. (FOF, ¶ 27).

Complainant’s witness asserted in a declaration that based on his communications with LGI, he understood that Respondent was the source of the charges in general. (FOF, ¶ 12). But, the same witness testified in a deposition that LGI had the underlying invoices (FOF, ¶ 13), implying that Complainant’s witness had no first-hand knowledge of whether Respondent imposed any yard storage charges.

Although the record contains two invoices from Respondent to LGI showing “storage charges,” Respondent’s corporate representative explained that Respondent uses the terms “storage charges” and “demurrage” interchangeably, that Respondent previously used both terms on invoices depending on how the billing was handled, but that Respondent changed its policy so that only the term “demurrage” would be used. (FOF, at ¶ 27). Consistent with the explanation by Respondent’s representative, LGI apparently treated Respondent’s “storage charges” as “demurrage/store” on LGI’s own invoices to Complainant. (FOF, at ¶ 28). Similarly, Complainant categorized the charges for Container Nos. TCNU2686467 and TGBU5893344 as “demurrage.” (*Id.*).

Based on these facts, I find that Complainant has not shown that Respondent imposed the 88 yard storage charges identified on the Amended Charges Spreadsheet. Respondent’s witness said that Respondent did not impose such charges; Complainant’s witness did not have a basis of knowledge to contradict Respondent’s witness; and, to the extent Respondent imposed “storage charges,” LGI and Complainant understood such charges to be the same as “demurrage.” Accordingly, there is no basis for finding that Respondent imposed yard storage charges on a normal, customary and continuing basis. Complainant’s claim regarding yard storage fees under § 41102(c) is therefore **DENIED**.

3. Related to Property

The third element is that the practice or policy at issue has to relate to or be connected with the receiving, handling, storing or delivering of the property at issue. I find that this element is satisfied. Complainant alleges that the charges at issue are related to the transportation of containers. Respondent argues that Complainant fails to demonstrate that the charges at issue were unreasonable; Respondent does not argue that Complainant failed to satisfy this element. (*See, e.g.*, Response Brief, at 25). Therefore, I find that the third element of a claim under § 41102(c) is satisfied.

4. The Practice or Regulation is Unjust or Unreasonable

Complainant seeks recovery of \$637,195.21 in demurrage, detention, per diem and yard storage fees that Respondent charged were unjust and unreasonable. For the reasons discussed below, I find that Complainant has not demonstrated that the practices at issue were unjust or unreasonable.

i. Background Regarding Interpretive Rule

The Commission promulgated an interpretive rule applying “to practices and regulations relating to demurrage and detention for containerized cargo.” (46 C.F.R. § 545.5(b)). In general, “[i]n assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.” (46 C.F.R. § 545.5(c)(1)). Regarding demurrage charges, “[t]he Commission may consider in the reasonableness analysis the extent to which demurrage practices and regulations relate demurrage or free time to cargo availability for retrieval.” (46 C.F.R. § 545.5(c)(2)(i)). In addition, the Commission may consider “whether and how regulated entities provide notice to cargo interests that cargo is available for retrieval.” (46 C.F.R. § 545.5(c)(2)(iii)). As for detention charges, the Commission’s interpretive rule provides that: “Absent extenuating circumstances, practices and regulations that provide for imposition of detention when it does not serve its incentivizing purposes, such as when empty containers cannot be returned, are likely to be found unreasonable.” (46 C.F.R. § 545.5(c)(2)(ii)). The rule continues, stating that:

(d) Demurrage and detention policies. The Commission may consider in the reasonableness analysis the existence, accessibility, content, and clarity of policies implementing demurrage and detention practices and regulations, including dispute resolution policies and practices and regulations regarding demurrage and detention billing. In assessing dispute resolution policies, the Commission may further consider the extent to which they contain information about points of contact, timeframes, and corroboration requirements.

(e) Transparent terminology. The Commission may consider in the reasonableness analysis the extent to which regulated entities have clearly defined the terms used in demurrage and detention practices and regulations, the accessibility of definitions, and the extent to which the definitions differ from how the terms are used in other contexts.

(46 C.F.R. §§ 545.5(d)&(e); *see also Bakerly, LLC v. SeaFrigo USA, Inc.*, Dkt. No. 22-17, 8 F.M.C. 2d 611, 2024 WL 4678461, at *21 (FMC Oct. 30, 2024)). The Final Rule promulgating the interpretive rule states that each case would be decided on its own facts. (*Interpretive Rule on Demurrage and Detention Under the Shipping Act* (“Interpretive Rule”) 85 FED. REG. 29638, 29642).

The Commission issued a decision discussing the interpretive rule in *TCW, Inc. v. Evergreen Shipping Agency (America) Corp.*, Dkt. No. 1966(I), 2025 WL 516256 (FMC Feb. 13,

2025) (“*TCW I*”).⁶ In that case, a trucker was charged detention for failing to return a chassis and container for several days after its free days expired. (*TCW II*, 2025 WL 516256, at *2). The trucker challenged the detention charges imposed while the port was closed for the Memorial Day weekend. (*Id.*). The Commission originally affirmed the initial decision of the small claims officer (“SCO”) finding that the detention charges imposed while the port was closed to be unreasonable as the equipment could not be returned during those days. (*Id.*, at *3 (citing *TCW v. Evergreen Shipping Agency (America) Corp.*, Dkt. No. 1966(I), 2022 WL 18068977 (FMC Dec. 29, 2022) (“*TCW I*”))). The D.C. Circuit vacated and remanded the Commission’s decision, reasoning that the Commission did not analyze adequately the incentivizing effect of the detention charge at issue and did not respond to Respondent’s arguments. (*TCW II*, 2025 WL 516256, at *3 (citing *Evergreen Shipping Agency (America) Corp. v. Fed. Mar. Comm’n*, 106 F.4th 1113 (D.C. Cir. 2024))).

On remand, the Commission again affirmed the SCO’s initial decision. (*TCW II*, 2025 WL 516256, at *4-*11). The Commission emphasized that it would assess the reasonableness of the detention charge at issue by balancing: “how a particular charge fits within the incentive principle to further the primary purpose of promoting freight fluidity alongside other arguments and extenuating circumstances raised by the parties to determine if they are relevant to assessing reasonableness and if so, whether they outweigh the finding under the incentive principle.” (*Id.*, at *4). The Commission noted, among other things, that while detention charged over a weekend could incentive return of a container prior to the weekend, that does not necessarily promote freight fluidity. (*Id.*, at *5-*6). Moreover, allowing detention to accrue over a weekend disincentivizes regulated entities from improving freight fluidity. (*Id.*, at *6-*7). As for the specific facts of the case, the Commission also noted that it was not possible for the trucker to return the cargo to the port before the port was closed for the Memorial Day weekend. (*Id.*, at *6-*7). The Commission discussed the counterarguments for why the detention was reasonable. (*Id.*, at *8-*9). For example, the Commission noted that some facts pointed to a finding of reasonableness, such as the respondent provided a generous amount of free time; the relevant governing agreement had a dispute resolution provision; and the port closure was known in advance. (*Id.*). Nevertheless, none of these facts were dispositive. (*Id.*). The Commission concluded, based on the specific facts, that the charges were not reasonable because the trucker was unable to get the container back to the port before the holiday weekend. (*Id.*, at *9).

ii. Application of Interpretive Rule to This Case

As noted, Complainant bears the burden of proof. (*PANYNJ*, 2019 WL 1376529, at *13; *see also* 5 U.S.C. § 556(d)). I may draw inferences, and direct evidence is not necessary for a complainant to prevail. (*OJ Commerce, LLC*, 2023 WL 3969857, at *20). But findings may not be drawn from mere speculation. (*Id.*). Moreover, also as noted, whether a demurrage or detention charge is reasonable is a fact-specific inquiry that balances: “how a particular charge fits within the incentive principle to further the primary purpose of promoting freight fluidity” with other arguments and circumstances “raised by the parties to determine if they are relevant to

⁶ This case is again on appeal before the U.S. Court of Appeal for the District of Columbia Circuit, *sub nom. Evergreen Shipping Agency (America) Corp. v. Fed. Maritime Comm’n*, Dkt. No. 25-1104.

assessing reasonableness and if so, whether they outweigh the finding under the incentive principle.” (*TCW II*, 2025 WL 516256, at *4-*11).

Complainant makes several arguments regarding how the fees at issue in this case are unjust and unreasonable. First, Respondent exploited systemic barriers, such as port congestion and chassis shortages, and imposed detention, demurrage, and per diem charges that allowed Respondent to generate profit. (Opening Brief, at 17-18). Moreover, Respondent increased its charges during this time period. (Opening Brief, at 18). Second, Respondent lacked detention and demurrage policies during the relevant time period. Third, Respondent’s billing practices were inadequate because Respondent’s invoices lacked information about, among other things, the basis of the charges, and how to dispute the charges. (Opening Brief, at 20-21). Complainant also asserts that Respondent’s conduct is “more egregious when considered under OSRA[.]” (Opening Brief, at 22-23). Finally, Complainant argues that any analysis that requires looking at each charge individually is inappropriate in light of the context of widespread port congestion and where the charges themselves are unreasonable. (Opening Brief, at 30).

Addressing Complainant’s arguments in turn, it first argues that Respondent was aware of the systemic problems faced at the ports, but the Respondent nevertheless continued to imposed demurrage and detention charges without adjusting its practices, resulting in substantial revenue for Respondent. (Opening Brief, at 17-18). Without more information, however, I must conclude that Complainant has not carried the burden of proof.

Both the Interpretive Rule and the Commission’s decision in *TCW II* indicate that whether demurrage or detention charges are reasonable is a fact-specific inquiry. This suggests that the proper analysis does not focus on widespread congestion, although that is a relevant consideration. Instead, it is appropriate to focus on the facts surrounding each demurrage or detention charge, and whether such charge was reasonable. This is precisely what Chief Judge Wirth did in *Hapag-Lloyd, A.G.*, which was another case involving allegedly unjust and unreasonable demurrage and detention charges, and which was decided before the present case was commenced. There, the Commission issued an Order of Investigation and Hearing against the respondents to determine whether the respondents violated § 41102(c) for: 1) assessing detention in relation to eleven containers where return appointments were unavailable during free time, and, 2) failing to waive detention when presented with evidence of unavailable appointments. (*Hapag-Lloyd, A.G.*, 2022 WL 1239377 at *1). In the Initial Decision, the ALJ determined while there were no specific evidentiary requirements, she reviewed the evidence regarding each individual container. (*Id.*, at *26-*30). Among other things, the ALJ noted that the trucking company that worked at the relevant port provided evidence that it attempted to make appointments to return containers, that it took screenshots of the appointment calendar if appointments were unavailable, that it used evidence from a website that gathered appointment data, and that it emailed the respondents regarding unavailability. (*Id.*, at *21, *27). The ALJ concluded that where documentation was absent, she was unable to make findings. (*Id.*, at *27). For example, for one particular container, the last free day was June 8, and there was evidence in the record that appointments were full on June 11, and June 14-16; thus, the ALJ found that the respondents charged detention for four days when the container was unable to be returned. (*Id.*, at *28). The ALJ also concluded that where evidence showed that appointments to return containers were unavailable, detention was inappropriate: “Therefore, [respondents] charged detention for fourteen days when there is evidence that sufficient appointments were not

available. This policy and practice is unreasonable because no amount of detention could have incentivized the return of the containers on those fourteen days.” (*Id.*, at *30).

Applying the fact-specific, container-by-container analysis used in *Hapag-Lloyd, A.G.*, I find that Complainant does not carry its burden of showing that the charges at issue are unjust or unreasonable as to each of the 228 container shipments at issue. There is no question that there was widespread and disruptive port congestion in 2021 and 2022. (FOF, ¶ 40). Respondent’s witness testified that it was difficult to move cargo because of the congestion. (FOF, ¶ 39). Complainant’s witness testified that Complainant had not incurred charges before 2021-2022 of such magnitude. (FOF, ¶ 37). Moreover, I also appreciate that Respondent’s substantial revenue during 2021 and 2022 (*see* FOF, ¶ 52) may suggest that many of Respondent’s demurrage and detention charges were unreasonable. Nevertheless, this evidence is not persuasive. Such evidence does not satisfy Complainant’s burden of showing that the \$660 demurrage charge related to container no. CSNU8135620 was unjust or unreasonable. (CX_001304). The same is true for the \$1,330 detention charge related to container no. MAGU5264295. (CX_000302). In *Hapag-Lloyd, A.G.*, the ALJ was unable to make any factual findings where specific evidence did not exist. (*Hapag-Lloyd, A.G.*, 2022 WL 1239377, at *27). For example, even where there was evidence that a container could not be returned on June 11 and June 14, the ALJ made no findings regarding June 12 and June 13. (*Id.*, at *27). Moreover, in *Hapag-Lloyd, A.G.*, only after Chief Judge Wirth identified specific evidence that a container could not be returned on a given day, such as in the form of a screenshot or email, was she able to conclude that the container could not be returned. (*Id.*, at *30; *see accord Simple Forwarding Inc. v. China United Lines Ltd.*, Dkt. No. 2010(F), Initial Decision (“I.D.”), at *12-*13, *17 (ALJ Feb. 6, 2025) (notice not to review March 11, 2025)⁷ (finding that a detention charge was unjust and unreasonable only until the claimant had an opportunity to return the container at issue)). Here, there is nothing specific in the record regarding the \$1,925 demurrage charge related to Container No. FSCU5036068 (CX_001235) to show that it was unjust or unreasonable.

Complainant’s expert opines that an analysis based on specific details (conducted on an “invoice-by-invoice” basis) is inappropriate. (FOF, ¶ 53). The expert argues that given the way the invoices are processed, it is difficult to reconstruct specific details. Instead, the expert argues that the unreasonableness of the charges can be proved by means of inferences based on circumstantial evidence. He gives the example of a police officer who can know a driver is speeding based on the amount of time the driver takes to go from one point on the road to another, even if the police officer never actually sees the driver. (*Id.*).

I understand that a specific analysis of each charge results in an evidentiary challenge for Complainant. But it is not impossible to meet. For example, in *Access One Transport, Inc. v. COSCO Shipping Lines Co., Ltd.*, Dkt. 24-13, 2025 WL 1675843, at *18-*20 (ALJ June 6, 2025) (notice not to review, July 8, 2025), the complainant introduced many screenshots into evidence showing that there was a lack of available appointments for the return of shipping containers on specific days. Due to the lack of available appointments, the complainant successfully argued that many of the detention charges were unreasonable because the charges did not incentivize freight fluidity. (*Id.*). Similarly, in *Hapag-Lloyd, A.G.*, Chief Judge Wirth was able to impose a

⁷ Initial Decision available at [https://www2.fmc.gov/readingroom/docs/2010\(F\)/\(29\)%202010\(F\)%20Initial%20Decision.pdf/](https://www2.fmc.gov/readingroom/docs/2010(F)/(29)%202010(F)%20Initial%20Decision.pdf/).

civil penalty based on specific evidence of unavailability. (*Hapag-Lloyd, A.G.*, 2022 WL 1239377, at *27-*30, *39-*40; *see also Simple Forwarding*, Dkt. No. 2010(F), I.D., at *12-*13). In any event, for the reasons discussed above, the Interpretive Rule and the Commission’s decision in *TCW* indicate that the reasonableness of a demurrage or detention charge is a fact-specific inquiry.

Complainant disagrees with this analysis. Complainant argues that decisions like *Visual Comfort & Co. v. COSCO Shipping Lines Co., Ltd.*, Dkt. No. 24-01, 2025 WL 1662697 (ALJ April 28, 2025) (notice not to review May 9, 2025), and *TZ SSE Buyer, LLC v. Yang Ming Marine Transport Corp.*, Dkt. No. 24-10, 2025 WL 1083815 (ALJ March 24, 2025) (notice not to review April 24, 2025), where the ALJ ruled that the complainant must demonstrate that each demurrage or detention charge was unreasonable, were wrongly decided. (Opening Brief, at 30). Complainant argues that these decisions failed to consider the broader context, *i.e.*, the widespread industry challenges, including the carriers’ failure to prepare for or respond to the challenges adequately where the carriers’ billing practices were themselves unreasonable, causing Complainant significant financial harm. (*Id.*). I do not find this argument to be persuasive, however, because it assumes that Respondent’s charges were unreasonable without Complainant first showing that they are unreasonable.

Complainant argues that Respondent acted unreasonably because it did not have a clear dispute resolution policy until approximately August 2022, when a dispute resolution section was added to Respondent’s demurrage and detention tariffs. (Opening Brief, at 19-20; FOF, ¶¶ 49-50).

While a carrier’s clear dispute resolution policy can be considered in assessing the reasonableness of a demurrage or detention charge, a carrier’s lack of a clear dispute resolution policy cannot serve as a basis of a finding that a carrier acted unreasonably. In issuing the Final Rule promulgating the interpretive rule, the Commission described various attributes of an ideal dispute resolution policy, such as specific timeframes, points of contact, or guidelines on corroboration. (*Interpretive Rule*, 85 FED. REG. 29638, 29661, 29663). The Commission stated that dispute resolution policies with these attributes, “while not required, would weigh towards reasonableness.” (*Id.*, at, 29660-29661, 29663). The Commission, however, also stated: “But for the Commission to require specific dispute resolution policies to include [these attributes] or to conclusively state that the absence of them makes a policy unreasonable, is beyond the scope of this rulemaking.” (*Id.*, at 29661). Consistent with this guidance, the Commission noted in *TCW II* that the UIIA had a dispute resolution process, and that while the existence of such a policy “weighs towards reasonableness,” the Commission noted that the dispute resolution policy was outweighed by other factors. (*TCW II*, 2025 WL 516256, at *9).

Here, Respondent essentially concedes that, other than the Commission’s guidance, Respondent did not have a dispute resolution policy prior to August 2022, when one was placed in its demurrage and detention tariffs. (Response, at 15 (“Respondent maintains no discrete internal policies regulating the invoicing of demurrage and detention beyond its publicly filed tariffs and the Shipping Act and FMC regulatory provisions.”); FOF, ¶¶ 49-50). Indeed, I have noted in another matter that Respondent’s dispute resolution policy during the same approximate time period (*i.e.*, 2021-2022) lacked clarity and, at least in that case, appeared to be inconsistently applied. (*Access One*, 2025 WL 1675843, at *18-*20). I found that Respondent’s

slow and inconsistent application of the unclear policy to be unreasonable where there was evidence of unavailable return appointments for containers. (*Id.*). But, the lack of a clear dispute resolution policy, or any dispute resolution policy at all until August 2022, cannot serve as a basis for a finding that Respondent acted unreasonably without additional evidence supporting a finding of unreasonable conduct.

Complainant argues that Respondent acted unreasonably because its invoices did not contain an explanation for the basis of the charges, nor did the invoices contain instructions regarding how to challenge the charge, such as contact information, or necessary documentation. (Opening Brief, at 20).

The Commission noted that the efficacy of the dispute resolution process depends on invoices having enough information to allow charges to be contested meaningfully. (*Interpretive Rule*, 85 FED. REG. 29638, 29661). The Commission noted in the Final Rule that: “There was little dispute that demurrage and detention bills should have enough information for those receiving the bills to assess their accuracy and validity.” (*Id.*, at 29661). Though proposed versions of the Interpretive Rule did not address billing practices, the Commission added a reference to “demurrage and detention billing practices and regulations” in the Final Rule. (*Id.*, at 29662). Based on language in the rulemaking, it appears that the Commission will consider whether a carrier’s invoices provide information sufficient to permit the recipient to assess the invoice’s accuracy and clarity in determining whether a billing practice is reasonable.

After the Interpretive Rule was issued, the *Ocean Shipping Reform Act of 2022* (“*OSRA 22*”), which became law on June 16, 2022, statutorily mandated information that a carrier must include in its demurrage and detention invoices. The statutory requirements were codified at 46 C.F.R. § 41104(d)(2). After *OSRA 22*, carrier demurrage and detention invoices must contain the date the container was made available, the port of discharge, the container number, allowed free time, start and end dates of free time and applicable demurrage or detention rates, contact information for questions and disputes, as well as statements that the charges are consistent with Commission rules and that the carrier’s performance did not cause or contribute to the fees. (*See* 46 C.F.R. § 41104(d)(2)).

Reviewing Respondent’s invoices in particular, the record contains 97 invoices issued by Respondent. (FOF, ¶ 22). Of the 97 invoices, 73 were issued after *OSRA 22* was enacted. (FOF, ¶ 23). All of Respondent’s invoices in the record that followed *OSRA 22* comply with the requirements of *OSRA 22*. (FOF, ¶ 24). These invoices very clearly provide information sufficient to allow the demurrage and detention charges to be calculated.

Regarding pre-*OSRA 22* invoices, the text of the rulemaking regarding billing practices does not indicate whether the Commission would only consider clear invoices to be factor in a reasonable billing practice, or if it would also consider an unclear invoice to be an unreasonable practice. (*Interpretive Rule*, 85 FED. REG. 29638, 29661-29662). But, in discussing demurrage and detention policies as a whole, the Commission noted that several OCCs and MTOs expressed concern that the Commission would find unreasonable conduct that was not required by statute or regulation. (*Id.*, at 29659-29660). In response, the Commission stated that: “But commentators’ points are well-taken, and the Commission would avoid any interpretation of section 41102(c) that would be inconsistent with other Shipping Act provisions or Commission

regulations or that would subject regulated entities to incompatible requirements.” (*Id.*, at 29660). Consistent with this comment, the Commission stated that while it would consider the “accessibility” of a tariffs above and beyond statutory or regulatory requirements in whether a demurrage or detention tariff was reasonable, it would not consider a tariff’s accessibility “toward a finding of unreasonableness.” (*Id.*). Applying similar rationale to a carrier’s billing policies, there were no pre-*OSRA 22* requirements regarding the contents of a demurrage or detention invoice. Thus, the carriers should not be found to be acting unreasonably if their invoices do not contain information that was not required.

Reviewing the invoices that pre-date *OSRA 22*, most, though not all, have information sufficient to understand the basis of the charges, at least when read in conjunction with the tariffs. Three invoices identify only the port of discharge, the container number, and the charge itself. (FOF, ¶ 25). These invoices do not appear to provide sufficient information to allow the recipient to assess the invoice’s accuracy. The remaining invoices, however, show port of discharge, container number, and at least some information about the dates at issue. (FOF, ¶ 25). These invoices appear to allow the charges to be checked for accuracy, at least when read in conjunction with Respondent’s tariffs, which shippers are presumed to know. (*Interpretive Rule*, 85 FED. REG. 29638, 29660 (*citing Kraft Foods v. Moore McCormack Lines*, 17 F.M.C. 320, 323 n. 4 (FMC Mar. 20, 1974))).

Because only three invoices out of 97 lacked sufficient information, I am not persuaded that Respondent had an unreasonable billing practice. Regardless, whether the invoices permitted a recipient to check for accuracy, invoices that provide more information about demurrage and detention charges than are required by statute or regulation may be considered reasonable, but invoices that do not go over and above what was required cannot be used to find that the billing practices were unreasonable, at least not by themselves.

Complainant also argues that Respondent is liable for yard storage charges, even if Respondent did not impose the charges itself. (Opening Brief, at 21-22). Complainant asserts that Respondent held itself out as being responsible for inland transportation for containers destined to locations such as Chicago. (Opening Brief, at 22; Reply, at 21). Accordingly, Respondent was required to ensure that cargo would be delivered to the railyards in a timely manner, and that the containers would be reasonably accessible at the railyards for pickup by drayage providers. (Opening Brief, at 22; Reply, at 21).

This argument is not persuasive because it lacks support. I agree that there are several sea waybills in the record that show a place of delivery to an inland location, such as Chicago or Cincinnati. I also agree that some yard storage charges were assessed on containers that had inland destinations. (*See, e.g.*, CX_01663 (Cincinnati); CX_001622 (Chicago)). But that is not universally true; some containers with destinations in port-areas also have yard storage charges. (*See, e.g.*, CX_001564 (Long Beach); CX_001519 (Los Angeles); CX_001613 (Houston)). Complainant makes no argument as to how Respondent is responsible for yard storage charges where a container was to be delivered to the port. Regardless, Complainant has the same general evidentiary problem as above: there is no evidence, other than general widespread congestion and equipment shortages, as to why the \$3,185 in yard storage related to Container No. CCLU4995498 (CX_000024), which was delivered to New York (CX_001458) – *i.e.*, not an

inland destination – was unjust or unreasonable, or why it was Respondent’s responsibility. This is true regarding all the yard storage charges, even yard storage charges from inland areas.

Finally, Complainant argues that Respondent’s violations are more egregious when considered in light of *OSRA 22*. (Opening Brief, at 22-23). As noted above, however, Respondent’s invoices that post-date *OSRA 22*’s enactment comply with its requirements.

For these reasons, I find that Complainant has not shown that Respondent engaged in unreasonable conduct in issuing the demurrage, detention and per diem invoices. I do not need to address the fifth element of a § 41102(c) violation, which is causation. Complainant’s claim for a § 41102(c) violation as to demurrage, detention and per diem invoices is **DENIED**.

D. Alleged Violation of 46 U.S.C. § 41104(a)(10)

Complainant alleges that the Respondent violated § 41104(a)(10). That statute provides: “A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not . . . unreasonably refuse to deal or negotiate[.]”⁸ “To establish a violation of section 41104(a)(10), the Complainant must establish that (a) Respondents are common carriers, (b) Respondents refused to deal or negotiate, and (c) such refusal was unreasonable.” (*OJ Commerce*, 2023 WL 3969857, at *22). I address each element in turn.

1. Common Carrier

There is no question that Respondent acted as a common carrier as to the shipments at issue. Therefore, this element is satisfied.

2. Refusal to deal or negotiate

The second element is the refusal to deal or negotiate. Complainant argues that although Respondent was aware of widespread, systemic problems, Respondent repeatedly failed to respond to legitimate issues raised by LGI, and continued to impose demurrage and other charges. (Opening Brief, at 26-27; Reply, at 11-12, 22-23). Complainant argues that Respondent’s lack of a dispute resolution policy left customers without a way to contest charges. Moreover, Complainant asserts that it is entitled to an adverse inference that LGI made “many” waiver requests. (Supplemental Opening Brief, at 7).

For there to be a refusal to deal or negotiate, there must be: “an affirmative act by a party to deal or engage in negotiations with the common carrier.” (*OJ Commerce*, 2023 WL 3969857, at *29 (quoting *Definition of Unreasonable Refusal To Deal or Negotiate With Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier*, 87 FED. REG. 57674, 57677)). The record shows that a drayage provider requested an adjustment of multiple charges, which were granted. (See FOF, ¶¶ 44-45). Complainant’s assertion that Respondent’s lack of a dispute

⁸ The statute was amended by *OSRA 22*, to add the following after “negotiate”: “, including with respect to vessel space accommodations provided by an ocean common carrier[.]” (See *OSRA 22* (Pub. L. 117-146), Section 7(a)(1)(D)). Although *OSRA 22* was effective June 16, 2022, the amendment does not appear to be relevant to this proceeding.

resolution policy left customers without a way to contest the charges is not credible because at least some waiver requests were made and granted.

Other than the waiver requests discussed above, the record has no credible evidence that LGI or anyone else made waiver requests for the charges at issue. Although the record has a declaration by Complainant's employee saying that LGI contested many charges, he also testified that he was not privy to the conversations between LGI and Respondent. (FOF, ¶¶ 14-15). Therefore, I do not find the testimony of Complainant's employee to be persuasive. I also find, as discussed below, that Complainant is not entitled to an adverse inference that LGI made many waiver requests. As noted elsewhere in this Initial Decision, Complainant moved to compel production of communications between any agent of Supply Source and Respondent, which would have included any waiver requests; Judge Chintella, however, denied that request. (FOF, ¶¶ 59-61). I will not grant an adverse inference where Judge Chintella did not grant a motion to compel.

Accordingly, I find that Complainant has not satisfied the second element of a claim under § 41104(a)(10) – that there was a refusal to deal or negotiate. Complainant's claims under § 41104(a)(10) are all **DENIED**. I do not reach the third element.

E. Request for Adverse Inferences

Complainant alleges that it is entitled to adverse inferences because Respondent failed to produce documents in response to RFP 3 (regarding documents related to particular containers) and RFP 11 (documents related to demurrage and detention policies), even though such productions were required by the May 15 Order.

Complainant requests an inference that the missing documents regarding particular containers would have corroborated Complainant's position that returning containers during the free time was infeasible due to widespread congestion and equipment shortages. Complainant also requests an inference that the missing documents would have revealed that Respondent provided no clear dispute resolution process. (Opening Brief, at 11-12).

In general, a fact finder may draw adverse inferences when a party fails to produce documents, or documents have been destroyed. (*Worldwide Relocations, Inc., Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 As Well As The Commission's Regulations at 46 C.F.R. 515.13, 515.21, and 520.3*, Dkt. No. 06-01, 2012 WL 11914713, at *5 (FMC, Mar. 15, 2012) (“*Worldwide Relocations*”); *Rana v. Franklin*, Dkt. No. 19-03, 2020 WL 948584, *1 (ALJ, Feb. 12, 2020)). The prejudiced party, however, should produce some evidence suggesting that discovery relevant to substantiating its claim would have been included among the withheld discovery. (*Rana*, 2020 WL 948584, at *1).

1. RFP 3

In RFP 3, Complainant asked for documents including “invoices and payment records corresponding to such invoices, bills of lading, service contracts, and any other shipping documents, in any way connect with or relating to the shipments and Charges” at issue. (FOF, ¶ 57). The May 15 Order required production of documents responsive to RFP 3. (FOF, ¶ 56).

a. Demurrage Invoices

Complainant argues that despite the May 15 Order, Respondent failed to produce demurrage invoices for charges related to numerous containers identified on the COSCO Spreadsheet. Relying on the COSCO Spreadsheet, Complainant advances three reasons why it believes that Respondent failed to produce demurrage invoices.

First, Complainant notes that the COSCO Spreadsheet has a column with the heading “COSCO Dem,” which indicates what Respondent’s record shows for demurrage charges. (Supplemental Opening Brief, at 3). For example, for container OOCU4895332, the COSCO Spreadsheet says “dem\$8850” under the column headed “COSCO Dem.” (CX_002273). Complainant asserts that Respondent would have been unable to provide the detail in the “COSCO Dem” column without records, and Respondent did not produce those record. (Supplemental Opening Brief, at 3).

Second, Complainant points out that the COSCO Spreadsheet has a column with the heading “Notes/Remarks.” Complainant argues that for almost every demurrage charge identified on the COSCO Spreadsheet for which Respondent did not produce a demurrage invoice, there is a note under “Notes/Remarks” that indicates that the terminal collected demurrage for COSCO.⁹ (Supplemental Opening Brief, at 3-4). Complainant also notes that Respondent’s corporate representative testified that demurrage charges had both a terminal portion and a carrier portion, yet Respondent produced no invoices for the carrier portion. (Supplemental Opening Brief, at 4).

Third, Complainant notes that Respondent claimed to have produced responsive invoices. (Supplemental Opening Brief, at 4). Complainant, however, notes that many of the invoices Respondent produced were for detention, whereas the charges listed on the COSCO Spreadsheet are demurrage charges. (Supplemental Opening Brief, at 4-5).

Based on these failures, Complainant seeks an adverse inference that the missing documents would show that it was infeasible to return the containers during free time due to port congestion and equipment shortages. (Supplemental Opening Brief, at 5).

⁹ Complainant asserts in its Reply that Respondent asserted for the first time during the July 8 status conference that: “some demurrage invoices had been ‘issued by marine terminals’ and were therefore not in its possession.” (Reply, at 5). As Complainant itself points out, however, the COSCO Spreadsheet notes that terminals collected demurrage on Respondent’s behalf. (Supplemental Opening Brief, at 4). Moreover, Respondent has asserted for some time that it “has no records regarding many of the charges that Complainant asserts were paid by [LGI] for the simple reason that they involved *neither* charges invoiced *by COSCO* nor payment made *to COSCO*.” (Respondent’s Response to Complainant’s Motion to Compel, at 5 (emphasis in original); see also May 15 Order, at (“COSCO maintains its objections, stating that it has produced the responsive documents, but that some shipments involve charges not invoiced by COSCO or payments made to COSCO.”)).

Respondent argues that some terminals collected demurrage on Respondent's behalf, and that Respondent would not necessarily have received a copy of the invoice. Respondent explains that the amount noted under "COSCO Dem" would have been what was remitted by the terminals. (Response, at 16-18).

Respondent's explanation appears to be consistent with the record. The COSCO Spreadsheet indicates that some terminals collected demurrage on Respondent's behalf. (*See generally*, FOF, ¶ 35). Respondent's corporate representative provided deposition testimony that is consistent with Respondent's assertion. When asked if payments are made "directly to COSCO," the corporate representative testified that: "It just depends on the terminal. If we're talking about LA, Long Beach, those terminals collect the full area tariff demurrage rate directly from the customer on our behalf. So the customer would be paying the terminal directly." (FOF, ¶ 30).

Complainant argues that even if some terminals issued demurrage invoices on Respondent's behalf, Respondent should have produced the terminal's invoices because Respondent presumably had "possession, custody or control" (*see* Commission Rule 502.146(a)(1)) over the invoices that a terminal issued on Respondent's behalf. (Reply, at 9). Respondent asserts that it never received terminal invoices, though Respondent does not specifically deny having possession, custody or control over terminal invoices. (Response, at 16). While I noted that Judge Chintella required Respondent to produce documents responsive to RFP 3 within Complainant's possession, custody or control (May 15 Order, at 4), there has never been a determination that the terminal invoices are within Respondent's possession, custody or control, and should therefore be produced. Accordingly, I find that it is inappropriate to impose adverse inferences for Respondent's failure to produce terminal invoices because it is not clear if they are within Respondent's possession, custody or control.¹⁰

Even assuming that Respondent improperly failed to produce terminal invoices, there is nothing in the record to support Complainant's proposed adverse inference – that the missing documents would show that it was infeasible to return the containers during free time due to port congestion and equipment shortages. (Supplemental Opening Brief, at 5). None of the other invoices in the record, either from Respondent to LGI, or from LGI to Complainant, have information about congestion or equipment shortages at the various terminals. Nothing in the record supports Complainant's suggestion that terminal invoices would have additional information, such as a notation that "the container was unable to be returned during free time due to congestion." Therefore, even if adverse inferences were appropriate, I would not give Complainant the adverse inference it requests. (*Rana*, 2020 WL 948584, at *1 ("However, the

¹⁰ It is also unclear if RFP 3 encompassed invoices issued by the terminal. The request seeks: "invoices and payment records corresponding to such invoices . . . in any way connected with or relating to the shipments and Charges that You issued" to LGI or Supply Source. (FOF, ¶ 57). It is unclear how the phrase "Charges that You issued" is properly understood because the record does not include the RFPs' definitions for "Charges" and "You." Accordingly, without clarification, "Charges that You issued" can be fairly understood as including invoices Respondent issued, but not including invoices from the terminal to LGI.

prejudiced party should produce some evidence suggesting that discovery relevant to substantiating its claim would have been included among the withheld discovery.”)).

For these reasons, I am not persuaded that Respondent failed to produce demurrage invoices. Even if Respondent failed to produce invoices that should have been produced, I am not persuaded that they would have shown that it was infeasible to return containers due to congestion and shortages.

b. Waivers

Complainant asserts that Respondent failed to produce documents related to four invoices for which Respondent partially waived the charges. Complainant notes that Respondent’s corporate representative testified that customers would submit disputes, therefore records should exist. (Opening Brief, at 10). Complainant asserts that Respondent produced “only two responsive documents – detention invoices reflecting partial waivers for containers CSNU7885488 and CSNU6608955. . .” and that “[n]o responsive documents were produced at all for container BSIU9552230 or BMOU4494813.” (Supplemental Opening Brief, at 6).

Complainant is incorrect in asserting that: “[n]o responsive documents were produced at all for container BSIU9552230 or BMOU4494813.” The record contains an email exchange from March 2, 2022, through April 4, 2022, where a motor carrier requested the waiver of per diem (*i.e.*, detention) charges related to container BSIU9552230 (and others), which was granted. (FOF, ¶ 44). The record also contains an email exchange from March 23, 2022, through July 22, 2022, where a motor carrier requests waiver of charges related to container BMOU4494813 (and others), which was granted. (FOF, ¶ 45). The record does not have the screenshots themselves. The record also does not have any documentation reflecting any internal discussions that may have occurred – though there may not have been any documented internal discussions.

Complainant accurately describes what the record contains related to CSNU7885488 and CSNU6608955. The record contains invoice for detention charges for container nos. CSNU7785488 and CSNU660955 for, respectively, \$360 and \$1,440 of detention charges. (FOF, ¶ 46). The COSCO Waiver Spreadsheet shows that these two detention charges (as well as detention charges for BSIU9552230 or BMOU4494813) were waived. (FOF, ¶ 36). The record, however, does not contain any record of a waiver being requested, such as an email. (FOF, ¶ 46).

Respondent argues that it produced all documentation that it could find regarding these four containers. (Response, at 20). Complainant calls this representation into question, and notes that Respondent does not describe how it performed its document searches. (Reply, at 11). The May 15 Order, however, already addressed this issue. Complainant’s Motion to Compel sought additional documents responsive to RFPs 7 and 8, which sought production of communications between LGI, Supply Source, or drayage providers and Respondent related to the charges at issue. (FOF, ¶¶ 60-61). The requested communications between Respondent and LGI or a drayage provider would have included communications regarding waivers. The May 15 Order stated that Respondent represented that it conducted the searches, and Complainant failed to point to any specific reason to think Respondent’s searches were inadequate, or that Respondent was withholding material. (May 15 Order, at 5-6).

Complainant also asserts that the documents produced do not explain why detention was waived for the four containers at issue, whereas demurrage was not. (Reply, at 10-11). This is not a persuasive point for two reasons. First, there is no evidence that LGI or a drayage provider asked to have demurrage waived, whereas the record shows that a drayage provider asked to have detention waived for BSIU9552230 or BMOU4494813 due to lack of available return appointments. Second, demurrage and detention are separate charges; there is nothing necessarily problematic or inconsistent about waiving one charge and not the other. The record shows that the drayage provider submitted evidence showing no available return appointments for containers BSIU9552230 or BMOU4494813. There is no evidence that those same containers were unable to be picked up from the terminal for reasons outside Complainant's (or its agent's) control.

2. RFP 11

In RFP 11, Complainant asked for: "documents connected with or relating to your common practices, policies and regulations in assessing demurrage, detention, per diem and yard storage charges[.]" (FOF, ¶ 58) The May 15 Order required production of Respondent's tariffs. (FOF, ¶ 56).

In its Opening Brief, Complainant sought adverse inferences based on its understanding that Respondent had no policies regarding the imposition of demurrage or detention fees, noting that Complainant originally produced only its 2024 tariffs. (Opening Brief, at 11). Respondent eventually produced demurrage and detention tariffs from 2020, 2021, and 2022. (Supplemental Opening Brief, at 7). Therefore, because demurrage and detention policies are in the record, it is inappropriate to make adverse inferences based on the lack of demurrage or detention policies.

In its Supplemental Opening Brief, Complainant modified the adverse inferences it sought. Complainant requested an inference that Respondent had no dispute resolution process through at least July 2022, and no internal guidelines for resolving disputes. (*Id.*, at 8-9). Respondent asserts that it has no internal policies other than the ones in the tariff. (Response, at 15). And, in answer to an Interrogatory about "guidelines or criteria for deciding whether to reduce or waive" charges, Respondent pointed to its published tariffs, and also stated: "COSCO evaluates disputed charges in accordance with the FMC's Interpretative Rule on Demurrage and Detention (46 C.F.R. 545.5), including the Incentive Principle set forth therein, and applicable judicial and administrative precedents relating thereto." (CX_002340). In short, Respondent apparently concedes it had no policies other than what is in the tariff, and what is required by the Commission.

Accordingly, I do not need to make any inferences to find that Respondent did not have any dispute resolution policies in its tariffs, or anywhere else, until August 2022. But, as I noted above, while the Commission indicated that a clear dispute resolution would be considered in whether a demurrage or detention charge is reasonable, the lack of a dispute resolution policy would not necessarily be considered. (*Interpretive Rule*, 85 FED. REG. 29638, 29660).

IV. ORDER

Upon consideration of the materials in the record, it is:

HEREBY ORDERED that Complainants claims under 46 U.S.C. § 41102(c) and 46 U.S.C. § 41104(a)(10) are **DENIED**. It is

FURTHER ORDERED the July 30 MCT is **GRANTED** to the extent it was not previously denied as to Exhibits 12 and 13. It is

FURTHER ORDERED that the August 4 MCT is **GRANTED**. It is

FURTHER ORDERED that the September 17 MCT is **GRANTED**. It is

FURTHER ORDERED that the Motion to Re-File is **DENIED** as moot to the extent it was not previously granted.

FURTHER ORDERED that this proceeding be **DISCONTINUED**.

Richard C.

Ambrow Jr -S

Digitally signed by
Richard C. Ambrow Jr -S
Date: 2025.09.19
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Richard Ambrow
Administrative Law Judge